

The Loss of a Bank

Vijay Shekhar Sharma's One 97 Communications Ltd (OCL)—Paytm's holding company—has reduced its reliance on Paytm Payments Bank Ltd (PPBL) over the years; yet, significant dependency remained. The Reserve Bank of India's recent regulatory action, citing "persistent non-compliances and supervisory concerns" has cast a cloud on PPBL's future, potentially jeopardising its banking licence.

RBI has restricted PPBL from accepting deposits or top-ups; this has significant implications for OCL's financial performance. PPBL, which had revenues of ₹3,285 crore and profit of ₹15 crore in FY23, operated a digital wallet, facilitating transfers from any bank account to the wallet for transactions like FASTag payments and scan-and-pay. With a user base of 300 million, Paytm charged a platform convenience fee for credit card top-ups; this revenue stream has vanished. As for scan-and-pay, the National Payments Corporation of India (NPCI) has granted Paytm a third-party application provider (TPAP) licence, akin to players like Google Pay and PhonePe,

for transactions via UPI. Axis Bank, HDFC Bank, State Bank of India, and YES Bank have partnered with Paytm as payment system providers (PSPs).

Earlier, QR merchants onboarded by OCL had a virtual payment address (VPA) linked to PPBL. Now, Paytm has tied up with YES Bank as its merchant acquiring partner for both existing and new UPI merchants. The terms for sharing MDR or incentives in P2M transactions will be renegotiated under this new arrangement.

OCL used to distribute Paytm FASTags issued by PPBL, and also those of HDFC Bank. Users can still buy new FASTags from HDFC Bank. According to RBI regulations, online payment intermediaries like OCL and Paytm Payments Services Ltd (PPSL) must collect funds in a nodal account, where merchant transactions are settled. Paytm's nodal account, with PPBL earlier, has been transferred to Axis Bank. This shift will bring about different terms and rates, says an industry insider.

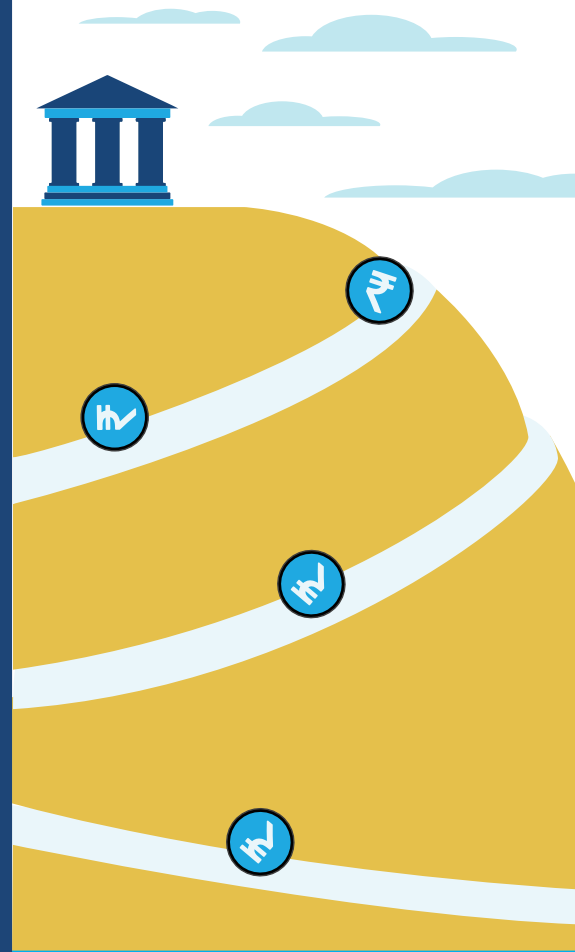
With its umbilical cord severed from OCL, and its MD & CEO stepping down recently, PPBL's future hangs in balance.

—Anand Adhikari

SALVAGING THE SERVICES

▶ **Despite discontinuation of the wallet service, NPCI has granted Paytm a third-party application provider (TPAP) licence under a multi-bank model**

▶ **YES Bank will serve as a merchant acquiring bank for both existing and new UPI merchants**



ers creating more SIPs. But it won't be easy. Zerodha, Groww, Upstox, and Angel One control close to two-thirds of the market in the broking space. Unlike Paytm, Zerodha's customer base is aligned to cross-sell MFs or other stock lending-related products. "Paytm's customer base mostly visits the website for ticketing, discounts or to pay utility bills, etc. It is going to be a challenge to sell them equity, MFs, or insurance," says a market player.

Currently, subsidiary Paytm Insurance Broking operates as an insurance aggregator. Four years ago, OCL decided to buy 100% stake in Raheja QBE General Insurance Company. But the transaction could not be completed. In April 2022, Paytm announced its intention